KATHY HOCHUL
Governor

RORY M. CHRISTIAN
Chair

November 21, 2025

SENT VIA ELECTRONIC FILING
Debbie-Anne A. Reese, Secretary
Federal Energy Regulatory Commission
888 First Street, N.E.
Washington, D.C. 20426

Re: Docket No. RM26-4-000 – Interconnection of Large Loads to the Interstate Transmission System

Dear Secretary Reese,

Attached, for filing in the above-referenced proceeding, please find the Comments of the New York State Public Service Commission. Please contact me at (518) 473-8178 or david.drexler@dps.ny.gov with any questions.

Sincerely,

JOHN J. SIPOS
General Counsel & Solicitor

s/ *David G. Drexler*
DAVID G. DREXLER
Deputy General Counsel

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	))	Docket No. RM26-4-000

COMMENTS OF THE NEW YORK STATE
PUBLIC SERVICE COMMISSION

INTRODUCTION

On October 27, 2025, the Federal Energy Regulatory Commission (FERC or Commission) issued a Notice Inviting Comments (Notice) on a proposed advance notice of proposed rulemaking (Proposed ANOPR) released by the Secretary of Energy (Secretary). The Proposed ANOPR asks the Commission to exert jurisdiction over the interconnection of large loads to the transmission system (i.e., loads greater than 20 megawatts (MW)). The Secretary notes that, historically, the Commission has "not exerted jurisdiction over load interconnections."[1] According to the Secretary, this unprecedented expansion of federal jurisdiction is warranted based on "current and expected growth of large loads seeking to interconnect to the transmission system, and to provide open access and non-discriminatory access to the transmission system …."[2] The Proposed ANOPR claims that the Commission's jurisdiction extends to the interconnection of large loads and sets forth principles to inform the Commission's rulemaking procedures. The Secretary requests that the Commission expedite this rulemaking and take "final action (no later than April 30, 2026)."[3]

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1 Proposed ANOPR Transmittal Letter from the Secretary (dated October 23, 2025), p. 1. (Transmittal Letter).

2 Proposed ANOPR, ¶12.

3 Transmittal Letter, p. 1.

In accordance with the Commission's Notice Granting Extension of Time, issued on November 7, 2025, the New York State Public Service Commission (NYSPSC) hereby submits its comments on the Proposed ANOPR. The NYSPSC acknowledges the Commission's solicitation of comments on the Proposed ANOPR and welcomes the opportunity to engage in an open discussion on this matter, which the Secretary describes as an "urgent issue that requires prompt attention."[4] As discussed below in further detail, the NYSPSC has significant concerns with the scope of the Proposed ANOPR, which would intrude on matters reserved to the states under the Federal Power Act (FPA), namely service to end-use/retail customers.[5] The NYSPSC currently regulates such retail sales, including the interconnections necessary to serve retail customers. While the significant number of requests to interconnect large loads, including AI centers, is a recent occurrence, New York already has the necessary procedures in place to make sure these interconnections do not compromise reliability or resource adequacy. For example, the New York Independent System Operator, Inc. (NYISO) has tariff provisions in place that address the interconnection of large loads to determine if connecting such end-use customers would create any reliability impacts on the transmission system.[6] If the NYISO concludes that the interconnection would not impact system reliability or adversely affect the New York State power system, the customer may pursue an interconnection with the local transmission and distribution (T&D) utility pursuant to tariffs overseen and approved by the NYSPSC. The Proposed ANOPR raises potential

[4] Transmittal Letter, p. 1.

[5] The views expressed herein are not intended to represent those of any individual member of the NYSPSC. Pursuant to Section 12 of the New York Public Service Law, N.Y. Pub. Serv. L. §12, the NYSPSC Chair is authorized to direct this filing on behalf of the NYSPSC.

[6] NYISO OATT §§3.9 and 4.5.8.

implications for the reliability of the electric system and the adequacy of generation resources by usurping state jurisdiction over these matters and presumably forcing the interconnection of large, end-use customers in order to usher in what the Secretary describes as "a new era of American prosperity."[7]

As a threshold matter, it is unclear that a need even exists for the proposed rulemaking, as the proposed ANPOR does not present any evidence to conclude that existing federal or state tariffs are unjust and unreasonable or are being administered in a discriminatory manner. In fact, the Proposed ANOPR's identified impetus suggests a need to take a more thoughtful and deliberative approach to these interconnections. As such, the NYSPSC takes issue with the expedited schedule where the Secretary seeks final action by April 30, 2026, since such a schedule would leave little doubt that this rulemaking is a fait accompli, leaving insufficient time for the Commission to develop a complete and accurate record, meaningfully consider the comments received, and make a well-informed decision. Given these issues, the Commission should pause the Proposed ANOPR rulemaking proceeding and work with stakeholders to identify if there are other efforts that should be pursued, particularly those within the Commission's jurisdiction. For instance, the NYISO is already addressing potential improvements to its large load interconnection processes in a manner that respects the current jurisdictional boundaries. There may also be an opportunity for the NYSPSC to update the T&D utility tariffs to reflect the unique nature of large load interconnections. We urge the Commission to take a cooperative approach with the states to

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7 Transmittal Letter, p. 1.

identify what additional steps are needed at both the federal and state level to ensure the "timely, orderly, and non-discriminatory" interconnection of large loads.[8]

DISCUSSION

I. The Proposed ANOPR Fails to Identify an Adequate Basis Requiring Reform

The Proposed ANOPR deems the proposed reforms needed to "ensure the timely and orderly interconnection of large loads to the transmission system," and notes that "increasing quantities of large commercial and industrial load, most notably data centers, are connecting rapidly to the transmission system."[9] According to the Proposed ANOPR, the North American Electric Reliability Corporation (NERC) has found that "the size and speed with which data centers can be connected to the grid present unique challenges for demand forecasting and system planning."[10] This information does not suggest that an urgent need exists for the Commission to facilitate additional interconnections to the transmission system. In fact, it suggests the opposite – a need to ensure that the current "rapid" pace of interconnections is carefully analyzed to ensure large loads do not adversely impact reliability or the electric system at large.

Notably absent from the Proposed ANOPR is any evidence that utilities across the nation, or within a particular region, have unduly delayed or burdened the interconnection of large loads, leading to inefficient, untimely, or discriminatory load interconnections. Before taking the extraordinary step of exerting jurisdiction over matters that the FPA reserves to the states, it is

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[8] Id.

[9] Proposed ANOPR, ¶1.

[10] Id.

incumbent on the Commission to demonstrate that an adequate basis exists warranting such unprecedented reform. In the absence of such evidence, the Commission should refrain from taking further action, as contemplated in the Proposed ANOPR.

II. **The Proposed ANOPR Would Intrude on Jurisdictional Matters Regulated by The States**

Assuming evidence exists and can be demonstrated to support a need for reform, the Commission must ensure that its actions fall within its jurisdiction and do not intrude on state-jurisdictional matters. Even the most egregious of examples would not support a significant expansion of federal jurisdiction into matters already regulated and reserved to the states under the FPA.

The Proposed ANOPR claims at least four legal justifications. The first analogizes large load interconnections to generator interconnections and suggests they are a "'critical component of open access transmission service' that require minimum terms and conditions to ensure non-discriminatory transmission service."[11] The second asserts such interconnections are a "practice directly affecting Commission-jurisdictional wholesale electricity rates."[12] The third maintains that FERC's assertion of jurisdiction over the interconnection of large loads to the transmission system would not cover retail sales to the large load and therefore "not impinge on States' authority over retail electricity sales" or state authority covering the expansion and siting of generation facilities under the FPA.[13] Finally, the fourth proffered justification contends that FERC's

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11 Proposed ANOPR, ¶13.

12 Proposed ANOPR, ¶14.

13 Proposed ANOPR, ¶15.

jurisdiction over the transmission of electric energy in interstate commerce, including wholesale sales in interstate commerce, and all facilities for such transmission or sale of electric energy, covers "any large load that seeks to interconnect to the transmission system … to obtain transmission service and the appurtenant benefits of such."[14]

Each of these legal justifications is flawed in that they fail to acknowledge that the interconnection of the large load is being done for the purpose of making a retail, end-use purchase of electricity that is subject to state jurisdiction. Fundamentally, the interconnection of the load and the ensuing retail service are inextricably linked. Unlike a generator interconnection, which is for the purpose of selling its output and making wholesale sales in interstate commerce utilizing the transmission system, a large load is not interconnecting to obtain wholesale "transmission service" or to make wholesale energy transactions, but rather for the end-use/retail consumption of energy. FERC cannot establish jurisdiction by divorcing the interconnection of a retail customer from the retail service, even if the interconnection is to a transmission facility. In the case of a large load interconnecting to the transmission system, that portion of the system can also be viewed as a facility "used in local distribution or only for the transmission of electric energy in intrastate commerce, or … for the transmission of electric energy consumed wholly by the transmitter," which are all exceptions to FERC's jurisdiction under the FPA and are therefore reserved to the states.[15] In sum, the Proposed ANOPR reflects an attempt to expand federal jurisdiction and an intrusion on the states' historic retail regulatory

[14] Proposed ANOPR, ¶16.

[15] FPA §201(b)(1).

authority under the Federal Power Act, and would unnecessarily introduce potential confusion, unintended customer consequences, and legal uncertainty where none currently exists.

III. Instead of Pursuing the ANOPR, the Commission Should Establish a Collaborative Approach with Stakeholders that Ensures Large Load Interconnections Do Not Jeopardize Reliability, Resource Adequacy, and Energy Affordability

Given the jurisdictional issues with the Proposed ANOPR, the NYSPSC encourages the Commission to, instead, work collaboratively with stakeholders to identify other efforts that should be pursued to address the interconnection of large loads. As noted above, the NYISO is undertaking a review with its stakeholders to address potential improvements to its large load interconnection processes. This could include analysis of the impact a large load interconnection may have on resource adequacy, which is also a matter reserved to the states under the FPA. Where a resource adequacy issue is identified, the states should be engaged in what types and quantities of resources are needed to meet the needs of retail consumers.

Opportunities should also be identified for improvements to state-jurisdictional utility tariffs, which could complement the Commission's efforts at the federal level. For instance, the NYSPSC could undertake a process to consider updating the T&D utility tariffs, recognizing the nature of large load interconnections and ensuring they do not jeopardize reliability or impose unjust and unreasonable costs upon other retail consumers. While current interconnection processes in New York require large loads to pay for the cost of their interconnection and related transmission upgrades, the operation of large loads may impose other costs not reflected in the interconnection process. For example, these large loads will require significant amounts of generation and their appearance on the electric grid will add to the need for more generation to meet statewide electric demand needs and thereby raise the costs for all customers. These impacts must be closely evaluated to ensure there are no adverse reliability or undue financial burdens from the interconnection of large loads. Given the NYPSC's regulatory oversight of the T&D utilities, the NYPSC is in the best position to identify these costs and allocate them appropriately. We therefore urge the Commission to undertake a cooperative approach with the states and other stakeholders.

CONCLUSION

As discussed herein, the Commission should pause the approach contemplated in the Proposed ANOPR and establish a collaborative approach with stakeholders. This approach should ensure that the Commission does not intrude on state-jurisdictional matters, while engaging with state utility commissions on the need to interconnect large loads in a reliable manner that does not compromise resource adequacy.

Respectfully submitted,

s/ John J. Sipos
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Albany, New York